

Inflation, Cost of Living, and Monetary Policy

ECON 204 – Contemporary Economic Issues

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- A one-time price increase does not necessarily constitute inflation unless it leads to continuing price growth across many sectors.
- Inflation is therefore a macroeconomic phenomenon rather than a change in the price of a single good.

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- The CPI tracks the cost of a fixed basket of goods and services typically purchased by households.

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- This increase reflects a higher cost of living for households.

Measuring Inflation

The inflation rate is calculated using the CPI formula:

$$\pi_t = \frac{CPI_t - CPI_{t-1}}{CPI_{t-1}} \times 100$$

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- For example, if the CPI rises from 158 to 163, inflation is approximately 3.16 percent.
- This means that average prices increased by just over three percent.

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- It may not fully account for improvements in product quality.
- New goods and services are not always captured immediately.
- Despite these limitations, the CPI remains the standard measure of inflation.

Demand-Pull Inflation

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- Strong household spending, business investment, and government spending can increase total demand.
- When the economy is near full capacity, firms respond by raising prices rather than output.
- This leads to sustained increases in the price level.

Cost-Push Inflation

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- Inflation occurs alongside slower economic growth.

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- Firms raise prices to cover higher labor costs.
- This wage-price spiral reinforces inflation over time.

Aggregate Demand and Supply

- Aggregate demand represents total spending in the economy.

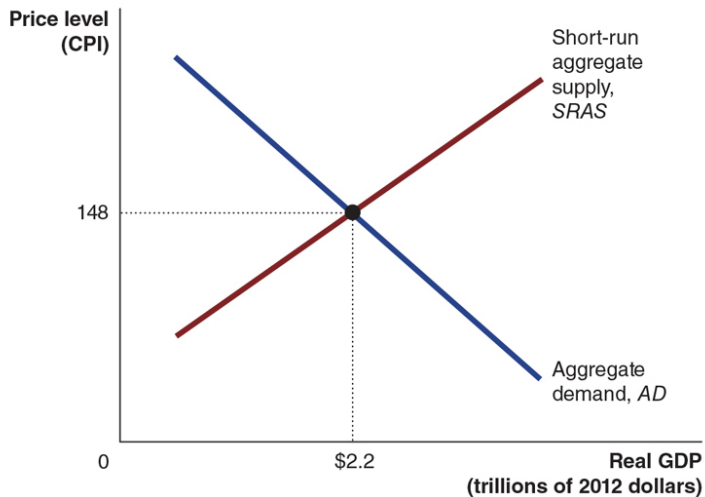
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- The intersection of AD and AS determines the price level and real GDP.

AD-AS Diagrams



Demand-Pull Inflation in AD–AS

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- Over time, rising costs shift short-run aggregate supply leftward.

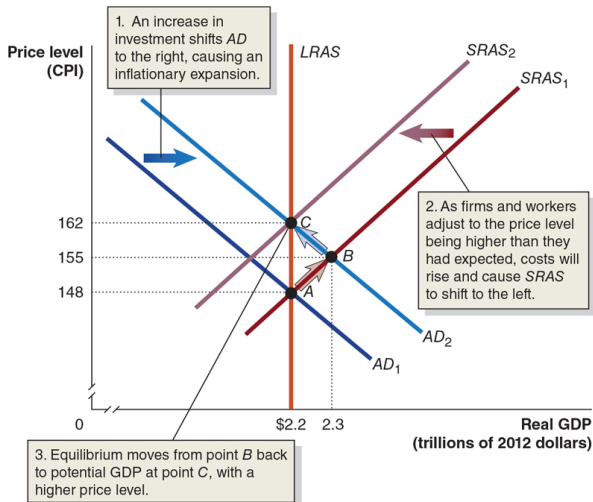
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- An increase in aggregate demand shifts the AD curve to the right.
- In the short run, both output and prices rise.
- Over time, rising costs shift short-run aggregate supply leftward.
- Output returns to potential while the price level remains higher.

Demand-Pull Inflation

Figure 9.6 The Short-Run and Long-Run Effects of an Increase in Aggregate Demand

In the short run, an increase in aggregate demand causes an increase in real GDP. In the long run, it causes only an increase in the price level.



Cost-Push Inflation in AD-AS

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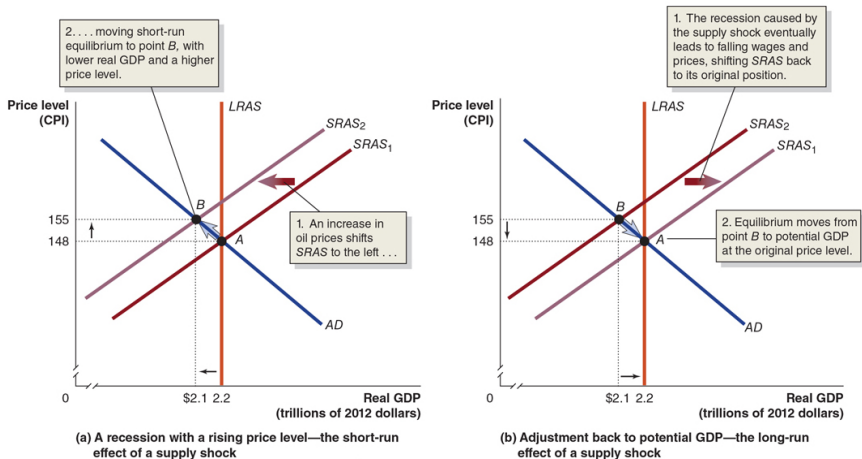
Cost-Push Inflation in AD-AS

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- Prices rise while output falls.
- Policymakers face a trade-off between inflation control and growth.

Cost-Push Inflation

Figure 9.7 The Short-Run and Long-Run Effects of a Supply Shock

Panel (a) shows that a supply shock, such as a large increase in oil prices, will cause a recession and a higher price level in the short run. The recession caused by the supply shock increases unemployment and reduces output. In panel (b), rising unemployment and falling output result in workers being willing to accept lower wages and firms being willing to accept lower prices. The short-run aggregate supply curve shifts from $SRAS_2$ to $SRAS_1$. Equilibrium moves from point B back to potential GDP and the original price level at point A .



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- Inflation redistributes income in arbitrary ways.
- Fixed-income households may lose purchasing power.

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- Lenders receive less real value than expected.

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- A nominal wage increase does not guarantee higher purchasing power.

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- It depends on expected inflation.
- It influences consumption, saving, and investment decisions.

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- Inflation targeting provides a clear policy framework.

- The Bank sets a target for the overnight interest rate.

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- Commercial banks adjust their lending rates accordingly.

- Higher rates reduce household consumption.

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- The exchange rate may appreciate.

Monetary Policy



(a) An expansionary policy



(b) A contractionary policy

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- Stable inflation expectations support price stability.
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- Policy credibility reduces the need for aggressive rate changes.

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- The CPI measures changes in the cost of living.
- Monetary policy influences inflation through interest rates.
- Expectations play a crucial role in stabilizing the economy.